

But eventually, the real world and the financial world have to mesh, because the value of the stock market—that is, the valuations of businesses—can't grow at a rate that is very much different from that of everything else. Stocks are part of society, of the real world. That's why studies of the long-term returns of the market come out with the figure of 9 to 10 percent—roughly 6 percent reflecting a growth in corporate net worth and 3 to 4 percent, dividends paid to shareholders. The 6 percent growth in corporate assets is related to the growth of the corporate sector generally and therefore a not implausible number.

For a time the stock market can appreciate considerably more than 6 percent a year (forgetting dividends), but it must, in accord with the law of reversion to the mean, get back to where it's providing a long-term return, before dividends, of 6 percent. Therefore, you have to have market cycles. If the market has been above the trend line for a spell, something is going to drag it back down below the trend line.

Some have said that with all the money pouring into stock mutual funds, especially with a regularity assured by 401(k) and other self-directed retirement plans—which, as you remember, generated one of my current investment themes—the market will be continuously buoyed. Corrections can only be shallow. The market's climb upward will be smoother and inexorable. Don't believe it.

Mutual fund managers may seem to control the market today, the way the trust departments did in my first years in this business, but in fact they don't control anything. They are merely purchasing agents. You must compare us with someone hired to water the garden. That person can decide whether to spray the roses first or the azaleas first, but his basic job is to stand there and spray. If you give mutual funds money to buy stocks, they'll buy stocks. Oh, some money can be kept in cash, and it seems to be big news if mutual fund cash levels go from 6 percent to 8 percent, but that's really of no long-term importance. All of the money that comes in gets invested. Any intermediary—be it mutual funds or trust depart-